

Calendar Line 4

Case Name: Long v. Juniper Networks (US), Inc. (Class Action/PAGA)
Case No.: 22CV396462

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class, representative, and collective action arising from alleged wage and hour violations brought by Plaintiffs Jamie Long and Marcus Serrano (collectively, “Plaintiffs”) against Defendant Juniper Networks (US), Inc. (“Defendant”).

On February 24, 2022, Plaintiff Long commenced an action against Defendant in the United States District Court, Northern District of California (*Long v. Juniper Networks (US) Inc.*, N.D. Cal., 2022, Case No. 5:22-cv-01158-BLF0) alleging wage and hour violations under the Fair Labor Standards Act (“FLSA”).

On April 6, 2022, Long initiated this action by filing a class action complaint against Defendant, asserting various claims arising from alleged violations of the California Labor Code. On December 20, 2023, Plaintiffs filed the operative first amended class action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to provide rest breaks; (5) failure to pay wages upon separation of employment and within the required time; (6) failure to furnish accurate and itemized wage statements; (7) failure to reimburse all business expenses; (8) failure to produce all employment records; (9) violation of Business and Professions Code section 17200, *et seq.*; (10) enforcement of Labor Code section 2698, *et seq.* [the Private Attorneys General Act (“PAGA”)]; and (11) violations of the FLSA.

The parties have reached a settlement. On March 26, 2024, Plaintiffs filed a motion for preliminary approval of the settlement. At the hearing on July 24, 2024, the court denied the motion without prejudice. (July 24, 2024 Minute Order, pp. 7-8.) The court explained that it

had concerns relating to the proposed hybrid class action and FLSA settlement. (*Id.* at pp. 4-5.) In particular, the court found that the proposed settlement did not comply with the opt-in requirement applicable to the FLSA claim. (*Ibid.*) The court also identified issues relating to the reversion provision, the failure to allow individuals to participate in one but not the form of action, and the lack of explanation in the notices regarding the hybrid nature of the settlement. (*Id.* at pp. 4-6.)

On December 18, 2024, Plaintiffs filed a renewed motion for preliminary approval of the settlement. At the hearing on January 15, 2025, the court continued the motion to March 26, 2025 and instructed Plaintiffs' counsel to provide supplemental materials in support of the motion. (January 15, 2025 Minute Order, pp. 6-7.) The court again expressed its concern regarding the opt-in requirement applicable to the FLSA claim and stated that it would not approve a settlement that does not require employees to give their consent in a writing that is filed with the court. (*Ibid.*) On March 12, 2025, Plaintiffs' counsel filed supplemental materials. Now before the court is Plaintiffs' renewed motion for approval of the proposed class, representative, and collective action settlement. The motion is unopposed.

II. LEGAL STANDARD

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small."

(*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes

to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

C. FLSA

In reviewing an FLSA settlement, a court must determine whether the settlement represents a “fair and reasonable resolution of a bona fide dispute.” (*Selk v. Pioneers Memorial Healthcare District* (S.D. Cal. 2016) 159 F.Supp.3d 1164, 1172 (“*Selk*”), quoting *Lynn’s Food Stores, Inc. v. U.S. By and Through U.S. Dept. of Labor, Employment Standards Admin., Wage and Hour Div.* (11th Cir. 1982) 679 F.2d 1350, 1355; see also *Kerzich v. County of Tuolumne* (E.D. Cal. 2018) 335 F.Supp.3d 1179, 1184 [district courts in the Ninth Circuit have frequently applied the widely-used *Lynn’s Food* standard].) First, the court must find that a bona fide dispute exists, in that there are legitimate questions about the existence and extent of the defendant’s FLSA liability: “If there is no question that the FLSA entitles plaintiffs to the compensation they seek, then a court will not approve a settlement because to do so would allow the employer to avoid the full cost of complying with the statute.” (*Selk, supra*, 159 F.Supp.3d at p. 1172.)

The court must then determine whether the settlement is fair and reasonable, considering the totality of the circumstances and factors similar to those used to assess class action settlements: “(1) the plaintiff’s range of possible recovery; (2) the stage of proceedings

and amount of discovery completed; (3) the seriousness of the litigation risks faced by the parties; (4) the scope of any release provision in the settlement agreement; (5) the experience and views of counsel and the opinion of participating plaintiffs; and (6) the possibility of fraud or collusion.” (*Selk, supra*, 159 F.Supp.3d at pp. 1172-1173.) “The settlement amount need not represent a specific percentage of the maximum possible recovery,” but the court must evaluate “the plaintiff’s range of potential recovery to ensure that the settlement bears some reasonable relationship to the true settlement value of the claims.” (*Id.* at p. 1174.)

III. DISCUSSION

A. The Settlement Groups

This case has been settled on behalf of three groups: (1) “California Class” members; (2) “Settlement Collective” members; and (3) “PAGA” members. (Declaration of Jonathan M. Lebe, filed on March 12, 2025 (“Lebe Dec.”), ¶¶ 22-23 and Ex. 1 (“Agreement”), §§ II.8, II.34, II.52.) The Agreement includes separate release provisions for each of these three groups. The releases relate to both this action (the “State Lawsuit”), and the separate FLSA action that Plaintiff Long filed in the United States District Court, Northern District of California (the “Federal Lawsuit”). (*Id.* at §§ II.21, II.57.) The Agreement defines “Class Member” as “all California Class Members and all Settlement Collective Members.” (*Id.* at § II.9.)

The “California Class” is defined as “any individual who worked for Defendant in California in a commissioned sales role listed in Exhibit A.” (Agreement, §§ II.8., II.53.) Exhibit A to the Agreement contains a list of job titles. The “California Class Settlement Period” is defined as the period from October 9, 2017, through March 13, 2023. (*Id.* at § II.3.)

The “Settlement Collective” includes “any individual who worked for Defendant in the U.S. outside of California in a commissioned sales role listed in Exhibit A at any time during the Collective Settlement Period [from September 7 2019 through March 13, 2023].” (Agreement, §§ II.13, II.54.)

“PAGA Member” means “any individual who worked for Defendant in California in a commissioned sales role listed in Exhibit A and who Defendant classified as exempt at any time during the PAGA Settlement Period [January 1, 2021, through March 13, 2023].” (Agreement, §§ II.34, II.39.)

B. Provisions of the Settlement

Defendant will pay a gross settlement amount of \$3,850,000, subject to an escalator clause. (Agreement, §§ II.27, VI.32.) This amount includes attorney fees up to one third of the gross settlement amount (currently estimated to be \$1,283,333.33), litigation costs not to exceed \$20,000, a PAGA allocation of \$200,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), enhancement awards in the total amount of \$22,500 (\$12,500 to Plaintiff Long and \$10,000 to Plaintiff Serrano), and settlement administration costs not to exceed \$22,000. (Agreement, §§ II.4-II.5, II.20, II.27, II.49.)

The remaining net settlement amount and 25 percent of the PAGA allocation will be distributed to Settlement Class Members, Settlement Collective Members, and PAGA aggrieved employees based on the number of workweeks they were employed by Defendant. (Agreement, § VI.3.) More specifically, Settlement Class Members will receive 66.66 percent of the net settlement amount, while Settlement Collective Members will receive 33.4 percent of the net settlement amount. (*Ibid.*)

California Class Members who wish to opt-out from the class will be required to submit a written request for exclusion. (*Id.* at § VI.2(c).) By contrast, the Settlement Collective is an opt-in group. (*Id.* at §§ II.33, II.54-II.55, VI.2(f), VI.2(j).) The Agreement sets forth a procedure for opting-in to the FLSA Settlement:

All Settlement Collective Members shall receive a Collective Notice that requires them to submit an Opt-In Consent Form either electronically or via U.S. Mail in order to participate in the FLSA Settlement. The Collective Notice shall include a website address for Settlement Collective Members, which they may access to opt into the FLSA Settlement and find additional information regarding final approval and final judgment of this matter. The Settlement Administrator shall conduct two reminder campaigns via U.S. Mail, e-mail, and text message to remind Settlement Collective Members of the Response Deadline within which they must opt into the FLSA Settlement. Plaintiff’s

Counsel will file all Opt-In Consent Forms received from Settlement Collective Members by the Response Deadline with the Court.

(Agreement at § VI.2(f).) Plaintiff will file all opt-in consent forms received by the response deadline with the court. (*Id.* at § II.33.)

Funds from settlement checks remaining uncashed more than 180 days after mailing, will be transmitted to nPower as the designated *cy pres* recipient, as follows:

If any Individual Class Settlement Payment, Individual PAGA Settlement Payment, or Individual Collective Settlement Payment checks remain uncashed or not deposited by the expiration of the 180-day period after mailing the checks, the Settlement Administrator will, within two hundred (200) calendar days after the checks are mailed, pay the amount of the Individual Settlement Share, Individual PAGA Payment (as applicable), or Individual Collective Settlement Payment to the Cy Pres Recipient, nPower. The Parties hereby affirm they have no relationship with the Cy Pres Recipient.

(Agreement, § VI.4(a).) The court approves the *cy pres* designation.

In exchange for the settlement, all Settlement Class Members who do not request an exclusion will release the Defendant and related person and entities (the “Release Parties”) from:

[A]ll federal, state and local law claims, rights, demands, liabilities, and causes of action, asserted in any of the complaints filed in the State Lawsuit, and all claims that were or could have been asserted in the State Lawsuit, arising from or reasonably related any facts, transactions, events, policies, occurrences, acts, disclosures, statements, or omissions, or failures to act pleaded in the State Lawsuit, which includes in any PAGA letter sent by Plaintiffs to the LWDA, including causes of action for (1) failure to pay minimum wages, (2) failure to pay overtime wages under the California Labor Code, (3) failure to provide meal periods, (4) failure to provide rest breaks, (5) failure to pay wages due upon separation of employment and within the required time, (6) failure to furnish accurate and itemized wage statements, (7) failure to reimburse all business expenses, (8) failure to produce all employment records, (9) violation of California Business Professions Code §§ 17200, et seq., and all claims for attorneys’ fees and costs, interest and penalties based on the foregoing. The Released Claims specifically include any and all claims alleged or that could have been alleged based on the facts alleged in the Actions’ operative complaints, which arose during the California Class Settlement Period including, without limitation, §§ 201, 202, 203, 204, 210, 218.5, 218.6, 223, 225.5, 226, 226.7, 226.3, 227.3, 510, 512, 558, 1194, 1194.2, 1194.3, 1197, 1197.1, 1198, 1199, and 2698-2699.5, and the California Business & Professions Code §§ 17200 et seq.; and any and all claims arising under any applicable California Industrial Welfare Commission Wage Order(s)[.]

(Agreement, §§ II.43, II.46, V.1.)

In consideration for the PAGA settlement amount, PAGA Members will release the Released Parties from the Released PAGA Claims. (Agreement, §§, II.45, II.46, V.2.) In accordance with the statute, PAGA members will not have the opportunity to opt-out of or object to the PAGA release. (*Ibid.*) The Agreement defines the Released PAGA Claims as:

[A]ll claims for civil penalties under PAGA asserted in any of the complaints filed in the State Lawsuit, and all civil penalty claims under PAGA that were or could have been asserted in the State Lawsuit arising out of or reasonably related to any facts, transactions, events, policies, occurrences, acts, disclosures, statements, omissions, or failures to act alleged in the State Lawsuit or in any PAGA letter sent by Plaintiffs to the LWDA, including but not limited to claims for civil penalties for violations of the California Labor Code for unpaid minimum wages, unpaid overtime wages, unpaid meal period premiums, unpaid rest period premiums, inaccurate wage statements, failure to keep accurate records, failure to indemnify for all necessary business expenses, and failure to timely pay wages during employment or at termination.

(*Id.* at § II.45.)

All Settlement Collective Members who opt-in to the FLSA Settlement “shall release the Released Parties of and from all Released FLSA Claims.” (Agreement, § V.3.) “Only the Settlement Collective Members will be considered to have consented under the FLSA to opt into the collective action.” (*Ibid.*) The Agreement defines the “Released FLSA Claims” as:

[A]ll federal wage and hour law claims, obligations, demands, rights, causes of action, and liabilities, of whatever kind and nature, character and description, that were or could have been asserted in the Federal Lawsuit, arising out of or reasonably related to any facts, transactions, events, policies, occurrences, acts, disclosures, statements, omissions, or failures to act pleaded in the Federal Lawsuit. Released FLSA Claims include, but are not limited to, claims for overtime wages, damages, unpaid costs, penalties, liquidated damages, punitive damages, interest, attorneys’ fees, litigation costs, restitution, or equitable relief, based on any and all claims arising under the Fair Labor Standards Act of 1938 (“FLSA”), as amended, 29 U.S.C. §201, et seq., that have been or could have been asserted during the Collective Settlement Period.

(*Id.* at § II.44.)

The foregoing release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

C. Settlement of the FLSA Claims

As discussed above, the court previously denied and then continued Plaintiffs' motions for approval of the settlement due to its concerns related to the settlement of the FLSA claim. (See July 24, 2024, Minute Order, pp. 3-8; January 15, 2025 Minute Order, pp. 6-7.) The court identified the following concerns: (1) the lack of a written opt-in procedure, separate from the cashing of a settlement check; (2) the reversionary structure of the proposed settlement; (3) the failure to allow putative class members to choose whether they would participate in only of the hybrid (California Class and FLSA Collective) forms of the actions; and (4) various defects in the class notice related to the proposed settlement of the FLSA claim.

Plaintiffs have now submitted a settlement agreement that the parties have revised and executed since the January 2025 hearing. After closely reviewing the changes made with respect to the proposed settlement of the FLSA claims, the court finds that the parties have adequately addressed the court's concerns. Most importantly, the Agreement now contains a written opt-in procedure applicable to FLSA Settlement Collective Members. (Agreement, §§ II.33, II.54-II.55, VI.2(f), VI.2(j).)

This opt-in procedure is in accordance with the statute as well as decisions interpreting the statute's terms. (See January 15, 2025 Minute Order, pp. 6-7.) In brief, the FLSA establishes an "opt-in" procedure for collective actions under its authority, which is essentially the opposite of the "opt-out" procedure typically employed in class actions. The statute provides, "No employee shall be a party plaintiff to any such action unless he gives his consent in writing to become such a party and such consent is filed in the court in which such action is brought." (29 U.S.C. § 216, subd. (b); see also *Haro v. City of Rosemead* (2009) 174 Cal.App.4th 1067, 1071 [the opt-in feature of FLSA actions is the most significant difference in procedure between the FLSA and class action; under the FLSA, "no person can become a party plaintiff and no person will be bound by or may benefit from judgment unless he has affirmatively 'opted into' the class; that is, given his written, filed consent"]; see also *Smother's v. Northstar Alarm Services, LLC* (E.D. Cal., Jan. 22, 2019, No. 217CV00548KJMKJN) 2019 U.S. Dist. LEXIS 10220, at *28-29 [more elevated courts "have read the statutory language as requiring written consent filed with the court"].)

The parties revisions to the Agreement also generally address the court's remaining concerns with the FLSA settlement. Under the Agreement as revised, funds from uncashed settlement checks (including those to Settlement Collective Members) will be transmitted the designated *cy pres* recipient and will not revert to the Defendant. (Agreement, § VI.4(a).) Separate notices will be with respect to Class Members and Settlement Collective Members, allowing recipients to participate in one of these settlement classes and not the other if they choose. (*Id.* at §§ II.10, II.34, VI.2 and Exs. B and C.) The Collective Notice makes clear that the funds designated for the Settlement Collective are reversionary, stating that if a Settlement Collective Member decides not to opt-in to the settlement, the associated estimated settlement payment will be returned to Defendant. This is consistent with the FLSA's opt-in requirement, discussed above, and does not affect the non-reversionary structure of the remainder of the settlement.

In sum, the court finds that the revisions the proposed settlement sufficiently addressed the court's concerns regarding the FLSA aspect of the Agreement.

D. Fairness of the Settlement

Plaintiffs contend the proposed settlement is fair and reasonable. (Motion, pp. 11:6-16:11.) They estimate that Settlement Class Members will recover an average of approximately \$1,440.22, and Settlement Collective Members will recover an average of \$720.32. (*Id.* at p. 11:12-15.) On December 16, 2022, the parties participated in mediation with Lisa Klerman, Esq. (Lebe Decl., ¶ 21.) Prior to mediation, the parties exchanged informal discovery, with Defendant providing time and payroll records as well as documents relating to its relevant policies. (*Id.* at ¶¶ 21, 29.) The parties reached the settlement through mediation. (*Id.* at ¶¶ 21-23.)

Plaintiffs' counsel provides an analysis of Defendant's estimated maximum exposure by claim. (Lebe Decl., ¶¶ 38-46.) According to the analysis, Defendant's total estimated exposure is \$78,956,358. (*Id.* at ¶ 46.) This amount is comprised of \$50,959,316 in California Class damages, \$26,433,142 in FLSA Collective damages, and \$1,563,900 in PAGA penalties. (*Ibid.*) The gross settlement amount of \$3,850,000 represents 4.9 percent of Defendant's total

estimated maximum exposure. Therefore, the settlement amount is low based on the percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].) The fact that the percentage recovery is lower than the range generally considered reasonable gives the court reason for pause. However, the percentage is just outside the generally accepted range, and the court finds that counsel has sufficiently explained the reasoning behind the settlement amount, including that Plaintiffs would only be entitled to damages under the FLSA to the extent that potential members of the collective opted in to the action.

The court has reviewed Plaintiffs' written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiffs' case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

E. Service Award, Fees and Costs

Plaintiffs request a service award of \$12,500 to Plaintiff Long and an award of \$10,000. (Motion, p. 5:20-22, fn. 2.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a

plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S. Dist. LEXIS 29837, at *29.)

Plaintiff Long has submitted a declaration describing her participation in this litigation. (Declaration of Jamie Long, filed on March 12, 2025, ¶¶ 9-15.) Long's participation has included communication with her attorneys, gathering documents, reviewing case documents, preparation for a possible deposition, and preparing for mediation. (*Id.* at ¶¶ 9-12.) She estimates that she has spent between 45 and 55 hours assisting with this case. (*Id.* at ¶ 15.)

Plaintiff Serrano has submitted a declaration describing his participation in this case. (Declaration of Marcus Serrano, filed on March 12, 2025, ¶¶ 9-15.) Serrano's participation has included obtaining documents, communicating with his attorneys, preparing for a possible deposition, and being available during mediation. (*Id.* at ¶¶ 9-12.) Serrano estimates that he has spent between 35 and 45 hours working with his attorneys on this litigation. (*Id.* at ¶ 15.)

The court finds that service awards are appropriate, and the amounts requested are reasonable. Accordingly, the service awards are approved in the amounts requested.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs' counsel will seek attorney fees of up to one-third of the gross settlement amount (currently estimated to be \$1,283,333.33). Prior to the final approval hearing, Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

F. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court" As

interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiffs state there are approximately 848 class members and 575 collective members who can be identified from a review of Defendant’s records. (Motion, p. 17:12-20.) There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

G. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must

contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, there are two notices: the Class Notice and the Collective Notice. (Agreement, Exs. B and C.) The form of the Class Notice is generally adequate. It describes the lawsuit, explains the settlement (including the hybrid distribution to the Settlement Class Members and the Settlement Collective Members), and instructs class members that they may opt out of the settlement or object. The settlement amounts, including attorney fees and payment to the Plaintiffs, are stated. The notice informs class members that they may appear at the final fairness hearing to make an objection. However, the Class Notice does not sufficiently explain the hybrid nature of the settlement does not appear to contain any direct reference to the FLSA or a definition of the Settlement Collective. Therefore, prior to mailing, the Class Notice shall be amended to include an explanation of the difference between the California Class and the Settlement Collective, and why some recipients will not receive the Settlement Collective notice.

Similarly, the form of the Collective Notice is generally adequate. (Agreement, Ex. C.) It describes the lawsuit, explains the settlement (including the hybrid distribution to the Settlement Class Members and the Settlement Collective Members), and instructs class members that they may opt out of the settlement or object. The settlement amounts, including attorney fees and payment to the Plaintiffs, are stated. The notice informs class members that they may appear at the final fairness hearing to make an objection. However, the Collective Notice also does not sufficiently explain the hybrid nature of the settlement. Also, paragraph 14 of the Collective Notice requires recipients of the notice to provide the last four digits of their social security number along with any written objection.

Therefore, prior to mailing, the Collective Notice shall be amended to include a brief explanation of the difference between the California Class and the Settlement Collective, and why some recipients will not receive the California Class notice. It shall also be amended to remove the requirement the recipients provide the last four digits of their social security number along with any written objection.

Finally, the court requests that the following language regarding the final approval hearing be added to both notices:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notices prior to mailing, the notices are approved.

IV. CONCLUSION

The motion for preliminary approval is GRANTED. The classes as defined herein are certified for settlement purposes only. The court sets a final approval hearing for October 22, 2025 at 2:30 p.m. in Department 19.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: Hathaway v. Alliance Roofing Company, Inc. (Class Action)
Case No.: 22CV401365
(Lead case; consolidated with Case No. 22CV407856)

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. Plaintiffs Chad Hathaway and Edwardo Contreras Ruiz (collectively, “Plaintiffs”) filed two separate cases, now consolidated.

On July 29, 2022, Plaintiff Hathaway began this case by filing a class action complaint against defendant Alliance Roofing Company, Inc. (“Defendant”). On October 4, 2022, Hathaway filed the operative first amended class action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to permit rest breaks; (5) failure to reimburse business expenses; (6) failure to provide accurate itemized wage statements; (7) failure to pay wages timely during employment; (8) failure to pay all wages due upon separation of employment; (9) violation of Business and Professions Code section 17200, *et seq.*; and (10) enforcement of Labor Code section 2698, *et seq.* [Private Attorneys General Act (“PAGA”)].

On November 3, 2022, Plaintiff Ruiz filed a complaint against Defendant (Super. Ct. Santa Clara County 2022, Case No. 22CV407856) (the “Ruiz Action”).

On March 15, 2024, the court issued an order granting Hathaway’s request for dismissal of the tenth cause of action for PAGA enforcement, without prejudice.

On April 17, 2024, the court issued an order on the parties’ stipulation consolidating this action with the Ruiz Action for all purposes, with this action serving as the lead case. Also on April 17, 2024, the court issued an order granting Hathaway’s motion to compel Defendant